

Company Overview:

Founder	: Mahabirprasad Poddar
Year Founded	: 1987
Current Promoter	: Aravind Poddar
Business Line	: Manufacturing

BKT is a prominent Indian tyre manufacturer specializing in Off-the highway tires (OHT), which is serving important sectors like agriculture, construction, industrial, earthmoving, mining and forestry. With industry expertise of over 30 years, BKT has established a significant global presence, exporting to more than 160 countries across Americas, Europe and other regions.

Capacity

The company's production infrastructure includes five advanced facilities located in Aurangabad, Bhiwadi, Chopanki, Dombivali, and Bhuj, with a combined tire production capacity of **360,000 metric tons per annum (MTPA)** and a carbon black production capacity of **200,000 MTP**

Growth Outlook

The management maintains a careful optimistic outlook for near term, expecting the marginal sales growth despite global headwinds. Fried costs have eased providing some relief over the margins, the company expects **raw materials costs to rise 1-2%** in the next quarter due to procurement lags. As a response the management has implemented an equivalent **1-2% price adjustments in Q3 FY25**.The 30,000 MTPA caron black facility completed in September, is currently undergoing customer testing, which is expected to contribute meaningful EBITDA over the medium term.

The long-term growth drivers remain intact with **5,000 MTPA Off-The-Road (OTR)** tire capacity expansion, announced in August, remains on track for H1 FY26 completion, enabling BKT to capture rising demand from infrastructure and mining sectors. The raw material prices are expected to stabilize over the medium term, alleviating margin pressures.

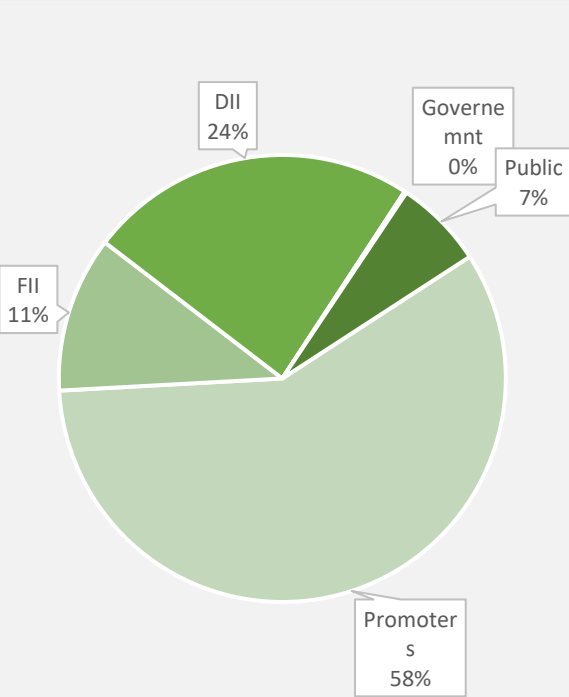
Despite growth levels , **geopolitical policy shifts and economic measures like tariff wars** , ongoing conflicts in key supply chain routes and oil cold war's act as significant turbulence factors in commodity prices forecasts.

Product Portfolio

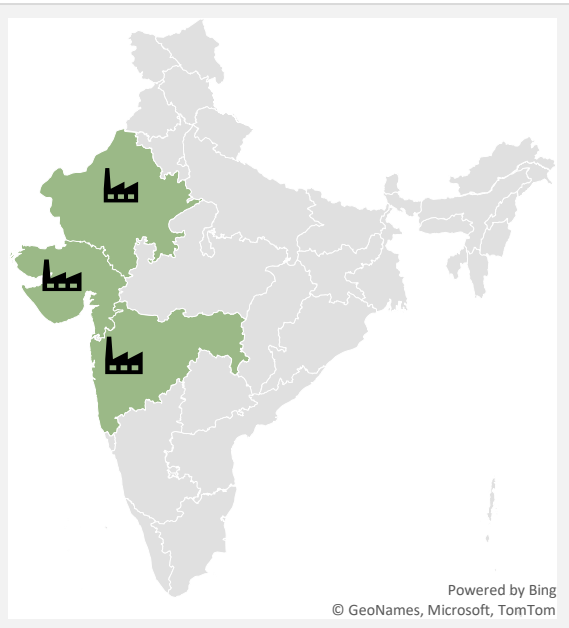
	Agriculture tyres -High Market Share -Biggest Margin Contributor		Construction & Industria tyres -Stronger Market growth -Second highest Margin Contributor
	Mining and Earthmoving -Modest Market Share and concentration by global giants like Michelin -Low Revenue contribution		Lawn and Garden tyres -Very negligible revenue contribution and has a very small presence in the market

Recommendation	: Buy
CMP	: ₹ 2708
Target Price	: XXXX
Market Data	
Nifty	: 22,795.90
52 Week H/L	: ₹ 3,378 / 2,194
M.cap	: ₹ 52359.96 cr
Div yield	: 1%
NSE code	: BALKRISIND

Shareholding pattern



Manufacturing Plants In India



State	Locations
Gujarat	Bhuj
Rajasthan	Bhiwandi, Chopanki
Maharashtra	Aurangabad (Waluj), Dombivli

	Mar-2021	Mar-2022	Mar-2023	Mar-2024
Revenue	5758	8267	9811	9299
Cost Of Materials Consumed	2379	3958	4804	4404
Gross Profit	3379	4309	5007	4895
Purchase Of Stock-In Trade	72	76	104	117
Changes in Inventory	-149	-255	47	-47
Employee Benefit Expenses	326	380	404	441
Other Expenses	1344	2132	2735	2179
Other Income	161	431	333	448
EBITDA	1947	2407	2049	2652
<i>EBITDA Margin</i>	<i>34%</i>	<i>29%</i>	<i>21%</i>	<i>29%</i>
Interest Expense	10	8	46	110
Depreciation	406	444	557	644
EBT	1531	1955	1446	1898
<i>EBT Margin</i>	<i>27%</i>	<i>24%</i>	<i>15%</i>	<i>20%</i>
Tax	25%	28%	26%	24%
Net Profit	1148	1407	1070	1443
<i>Net Margin</i>	<i>20%</i>	<i>17%</i>	<i>11%</i>	<i>16%</i>
EPS	59.48	72.92	55.45	74.75
Dividend Per Share	16.65	27.71	16.08	16.45

On Profitability

BKT's profit margins have exhibited cyclical fluctuations around their four-year mean, with a notable contraction in FY22-FY23, followed by a robust recovery. This downturn was industry-wide, driven primarily by macroeconomic headwinds affecting the export-dependent business models of Indian tire manufacturers. Given that a significant portion of BKT's revenue is derived from Western markets, the combination of global recessionary fears, raw material cost volatility, and supply chain disruptions exerted downward pressure on profitability.

Despite these sector-wide challenges, BKT has consistently outperformed its peers in both EBIT and Net margins due to its structurally superior financial positioning. The company's low leverage, reflected in a debt-to-equity ratio of ~0.1, significantly reduces interest burden and enhances bottom-line stability. Additionally, proactive cost management, particularly in raw material sourcing and manufacturing efficiency, has enabled BKT to maintain a margin buffer even in downturns. BKT's superior margin resilience stems from its well-balanced revenue mix, high-margin replacement sales, and strong global footprint. In FY24, 61% of revenue came from the agricultural segment, while 39% was derived from other segments, ensuring reduced concentration risk. With 71% of revenue from the replacement market, BKT capitalizes on higher-margin sales over OEMs. Its geographical reach spans 160+ countries, with 47% of revenue sourced from Europe, insulating it from regional downturns. A deep product portfolio of 3,200+ SKUs further strengthens market positioning. This broad diversification shields BKT from raw material price swings, demand cyclicity, and geopolitical risks, sustaining structurally higher margins than industry peers.

CSR spending

Gross: ₹34.06 crores
% of Profit: 2.4%

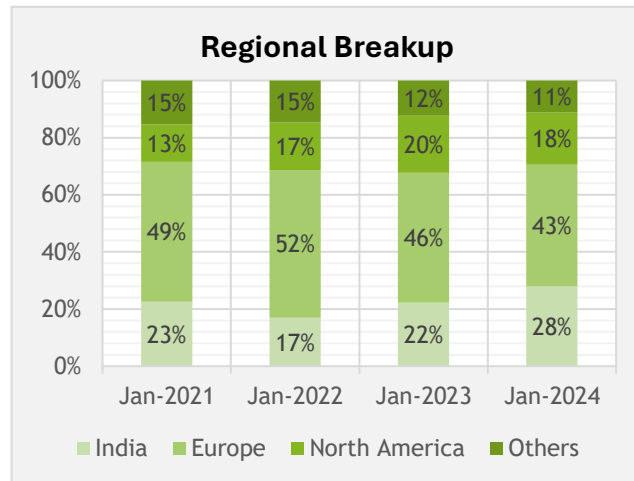
CRISIL

Long term: **AA+/Stable**
Short term: **A1+**

CARE

Long term: **AA; Positive**

	Mar-2021	Mar-2022	Mar-2023	Mar-2024
India	1,304 23%	1,408 17%	2,169 22%	2,615 28%
Europe	2,835 49%	4,283 52%	4,441 46%	3,995 43%
North America	759 13%	1,391 17%	1,953 20%	1,709 18%
Others	885 15%	1,214 15%	1,197 12%	1,049 11%
Total	5783	8295	9760	9369



Regional Exposure & Currency Risk

The company derives 73% of its revenue from exports, with Europe historically contributing the highest share. Notably, the European market's contribution has declined from 49% to 43% over recent years, starting from the Russia Ukraine war to macroeconomic stagnation and declining productivity within the Eurozone, as highlighted in recent report by economist Mario Draghi. The management believes that European central bank's response in focus on monetary easing should stimulate the economic activity which would in turn increase the import demand. As far the macroeconomic factors around Europe haven't reserved the management has retained a flattish demand forecast from eurozone.

On the positive note, BKT has strategically amplified its presence in domestic and North American markets, effectively enhancing its revenue diversification. This strategic pivot not only mitigates regional risk exposure but also capitalizes on growth opportunities in growing markets like India. The increasing share of revenue from domestic demand indicates optimism and decrease in European concentration risk.

As its export dependency is established, the currency risks follow. The company having its functional currency as INR, its predominant transactions are based in USD and EUR. A key risk for BKT is its imported raw material costs making the revenues highly variable to commodity markets. BKT's entire borrowing portfolio is denominated in foreign currency with a net positive exposure of USD and net negative exposure on EUR, indicating higher reliance on EUR denominated debt.

Secured (EUR)	541	18%
Unsecured (EUR)	2412	79%
Total External borrowings	2953	97%
	EUR	USD
Net position	-2364.06	330.7

Hedging strategies

As its very well established that BKT is diversifying its geographical presence acts as a natural buffer against the specified risks given there is a net forex inflow, hedging currency risks requires more niche focus and strategies using derivative instruments. As per FY 2024, it hedged €517 million and \$308 million in forecasted transactions, securing EUR/INR at 96.2154 and USD/INR at 86.8770. BKT restructured a ₹500 crore debt liability by swapping it into €57 million using a cross-currency swap at a fixed rate of 87.0235 INR per EUR. In addition, the company employs various derivatives to hedge its exposures in both EUR/USD and EUR/INR. This hedging framework has proven effective, with no ineffective hedges significantly impacting profit or loss as per management. In FY24, forward contracts generated a fair value gain of ₹192.23 crore, while cross-currency swaps recorded a modest loss of ₹8.81 crore.



	Mar-2021	Mar-2022	Mar-2023	Mar-2024
Assets				
Inventories	909	1639	1592	1271
Trade Receivables	730	1098	1254	1543
Cash and Cash Equivalents	54	35	38	53
Investments	392	685	775	1349
Other Current Assets	312	406	228	392
Total Current Assets	2397	3862	3887	4593
PPE	3247	3906	5263	6204
CWIP	856	1258	1392	944
Investment Property	86	79	71	64
Intangibles	0.56	0.26	0.23	0.50
ROU Assets	0.18	0.09	16	15
Financial Assets	1044	1242	1356	1493
Income tax assets	70	8	0	15
Other Assets	348	506	288	276
Total Non Current Assets	5652	7000	8385	9012
Total Assets	8048	10863	12272	13605
Liabilities				
Trade Payables	633	808	487	893
Borrowings	893	1942	2216	2345
Lease Liabilities	0.09	0.05	0.04	0.05
Other Current Liabilities	245	376	549	343
Total Current Liabilities	1771	3126	3251	3581
Long term Debt	1.25	501	1038	691
Other Liabilities	269	312	394	471
Total Non Current Liabilities	271	812	1432	1162
Share Capital	39	39	39	39
Other Equity	5969	6886	7550	8823
Total Equity	6007	6925	7589	8862
Total Liabilities and Equity	8048	10863	12272	13605
Balance Sheet Check	OK!	OK!	OK!	OK!

Equity Capital Structure

Year	Authorized Capital	Issued Capital	Shares Issued (Mn)	Face Value	Paid-Up Capital
2024	89	38.66	193.32	2	38.66
2023	89	38.66	193.32	2	38.66
2022	89	38.66	193.32	2	38.66
2021	89	38.66	193.32	2	38.66
2020	89	38.66	193.32	2	38.66

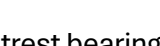
	Mar-2021	Mar-2022	Mar-2023	Mar-2024	
Liquidity ratios:					Trend
Current Ratio	1.4x	1.2x	1.2x	1.3x	
Quick Ratio	0.9x	0.9x	0.8x	0.9x	
Cash Ratio	0.03x	0.01x	0.01x	0.01x	
Working Capital Turnover Ratio	9.2x	11.2x	15.4x	9.2x	

The company isn't having a very strong liquidity position, as investors expect a strong current ratio of 2x, it falls way below with averaging around 1.2x over the last 4 years, as we go up the liquidity hierarchy the quick ratio is extremely low making the company reliant on non liquid current assets. The working capital turnover ratio indicates 0 displacement from its 2021 levels which is a trouble indication as the company requires more working capital to achieve same level of turnover that was 3 years back.

Solvency ratios:					Trend
Debt-to-Equity Ratio	0.1x	0.4x	0.4x	0.3x	
Interest Coverage Ratio	194.7x	300.8x	44.5x	24.1x	
Debt Service Coverage Ratio	3.6x	1.2x	0.4x	0.7x	
Financial Leverage Ratio	1.34x	1.68x	1.69x	1.65x	

As we observe the equity capital structure and the balance sheet, BKT has maintained an extremely stable equity base over the past five years. With an authorized capital of ₹89 Cr and a constant paid-up capital of ₹38.66 Cr—corresponding to 193.32 million shares at a face value of ₹2; BKT has not diluted its equity. This consistency indicates that the company has funded its growth predominantly through internal accruals and debt rather than issuing additional equity.

From being nearly debt free (0.1x) the D/E ratio increased to 0.4x and currently moderating around 0.3x, this is primarily due to increase in the short term unsecured borrowing (NCD) because of companies poor liquidity situation, it needs to finance its short term needs. The long term borrowings have also increased from 2022 as represented by the BS and ICR drop due to increased interest expense compared to operating profit. Despite these fluctuations, the financial leverage ratio remained relatively stable, rising from 1.34x to 1.65x, indicating there isn't red flags as such in the balance sheet.

Proceeds from Long term borrowings	₹	605	₹	3,335	₹	3,921	₹	2,944	
									Trend
Working Capital	₹	626.16	₹	736.78	₹	635.88	₹	1,012.10	
Net Working Capital	₹	1,464.89	₹	2,643.62	₹	2,813.76	₹	3,304.60	
Days Sales Outstanding (DSO)		46		48		47		61	
Days Payable Outstanding (DPO)		100		78		36		73	
Days Sales of Inventory (DSI)		144		158		117		104	
Cash Conversion Cycle		90		129		128		91	

The company has wider gap between working capital and net working capital because of heavyweight of interest bearing current liabilities pulling down WC. On the activity level the DSO has considerably increased indicating slower collection possibly due to extended credit terms granted to customers in a competitive environment. On the flip side, the DPO has made a volatile movement but a significant reduction from the levels of 100 days, indicates a potential tightening of vendor payment terms. This contraction may restrict the firm's ability to finance its working capital organically, even though a higher DPO traditionally cushions liquidity. The company has improved its inventory turnover from 144 days to 104. This enhancement has driven the Cash Conversion Cycle down to 91 days—a near four-year low—demonstrating improved operational efficiency. However, the simultaneous increase in DSO and volatility in DPO highlight areas where management could further optimize working capital through refined credit policies and better-negotiated vendor terms.



ROE Dupoint Analysis

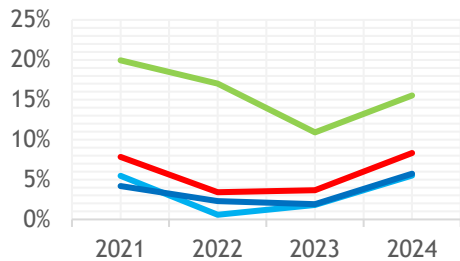
	Mar-2021	Mar-2022	Mar-2023	Mar-2024
Net Income	₹ 1,148	₹ 1,407	₹ 1,070	₹ 1,443
EBT	₹ 1,531	₹ 1,955	₹ 1,446	₹ 1,898
Tax Burden	75%	72%	74%	76%
EBT	₹ 1,531	₹ 1,955	₹ 1,446	₹ 1,898
EBIT	₹ 1,937	₹ 2,399	₹ 2,003	₹ 2,542
Interest Burden	79%	81%	72%	75%
EBIT	₹ 1,937	₹ 2,399	₹ 2,003	₹ 2,542
Revenue	₹ 5,758	₹ 8,267	₹ 9,811	₹ 9,299
EBIT Margin	34%	29%	20%	27%
Revenue	₹ 5,758	₹ 8,267	₹ 9,811	₹ 9,299
Average Total Assets	₹ 8,048	₹ 9,456	₹ 11,567	₹ 12,939
Total Asset Turnover	72%	87%	85%	72%
Average Total Assets	₹ 8,048	₹ 9,456	₹ 11,567	₹ 12,939
Average Shareholder Equity	₹ 6,007	₹ 6,466	₹ 7,257	₹ 8,226
Leverage	1.34x	1.46x	1.59x	1.57x
ROE	19%	22%	15%	18%
4- Year Average	18%			

Analysis

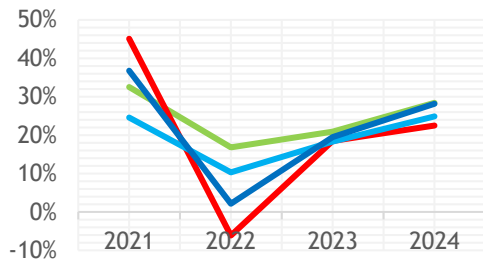
BKT’s ROE remains below its 2021 peak, primarily due to margin compression from rising raw material costs and macroeconomic headwinds. While profitability has started to recover, weaker asset turnover has weighed on overall returns. Leverage has increased but remains within manageable levels, with strong interest coverage mitigating financial risk. There is no structural drag from capital allocation, as debt levels are controlled. Despite the lower ROE, the company continues to generate a 7% spread over its cost of equity (Ke = 10.24%), underscoring management’s ability to drive shareholder value in a volatile operating environment.

Comparative Analysis and Investment Verdict

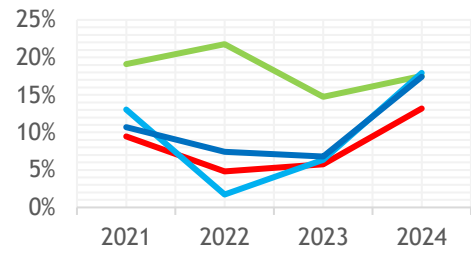
PAT Margin



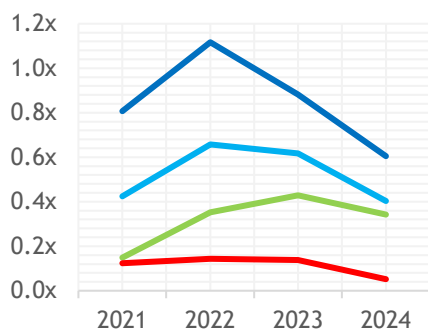
Cash return on Fixed Assets



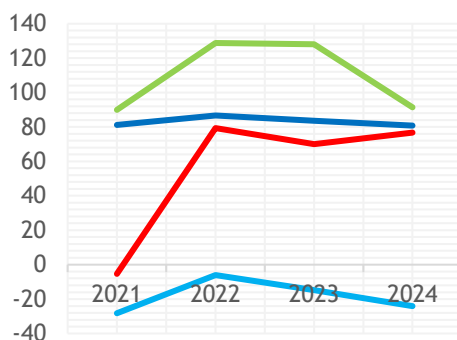
ROE



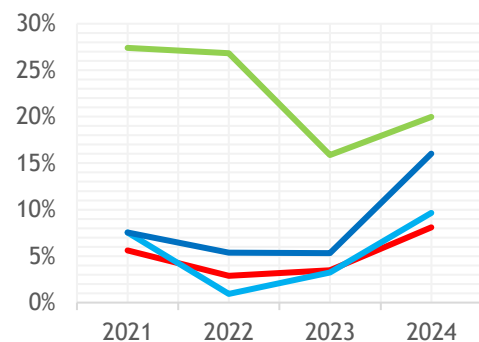
Debt to Equity



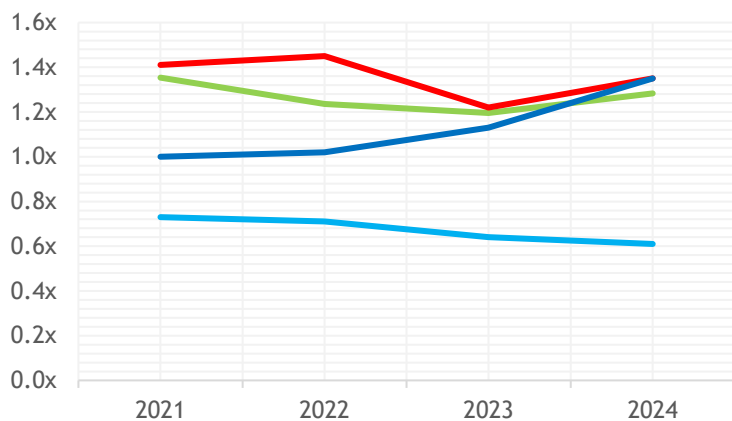
Cash Conversion Cycle



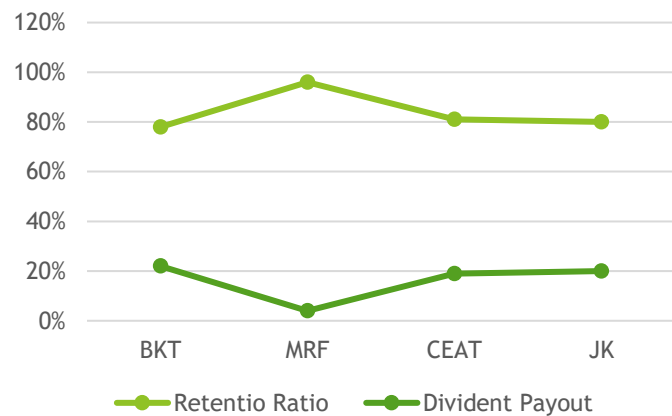
ROA



Current Ratio



Retention vs Dividends



— BKT — MRF — CEAT — JK

After a comprehensive analysis of key financial ratios across industry peers, we can conclude that Balkrishna Industries Limited (BKT) stands out as an attractive investment opportunity in the rubber and tire sector. BKT consistently outperforms its competitors on profitability metrics, notably achieving the highest return on equity (ROE) among its peers, even though its historical ROE has been somewhat subdued by recent macroeconomic volatility that has affected the entire industry. This robust ROE indicates superior management of fixed assets and effective capital deployment.

Moreover, BKT maintains a disciplined capital structure with very low leverage only marginally higher than industry leader MRF—which underscores prudent financial management. While the company's Cash Conversion Cycle (CCC) is higher than that of its peers, suggesting a slower conversion of operational investments into cash, BKT's liquidity ratios remain strong in a sector where peers generally exhibit weaker liquidity. Furthermore, its high dividend payout ratio combined with strong earnings retention supports sustainable growth and reflects a balanced approach between rewarding shareholders and reinvesting in the business.

Compensation Stats

Name	Designation	Management Remuneration/ Median Employee	% Increase in Remuneration	
Mr. Arvind Poddar	Chairman & Managing Director	672	10%	
Mr. Rajiv Poddar	Joint Managing Director	654	10%	
Mr. Vipul Shah	Director & Company Secretary	15	5%	
Mr. Madhusudan Bajaj	Senior President (Commercial) & CFO	38	18%	
Male			Female	
Category	Number	Median Remuneration	Number	Median Remuneration
Board of Directors (BoD)	6	5339684	2	1050000
Key Managerial Personnel	1	24160887	0	NA
Employees other than BoD and KMP	2665	726024	40	626706
Workers	881	382200	0	NA

As of March 31, 2024, BKT had 2,709 permanent employees, of which 1.48% (40 employees) were women. Additionally, 69 employees were hired on a temporary, casual, or contractual basis during FY24. Notably, none of the permanent employees were part of a union, whereas 25% (221 out of 881) of the permanent workers were unionized.

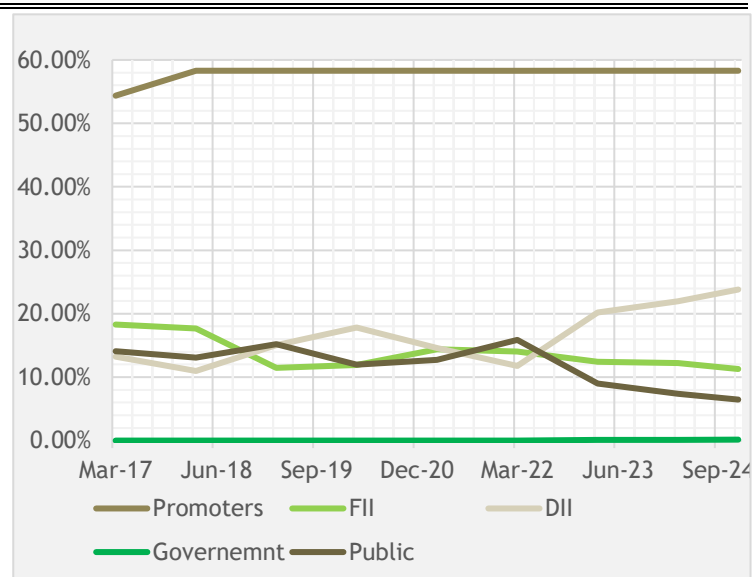
Regarding remuneration, the median remuneration of employees other than the Board of Directors (BoD) and Key Managerial Personnel (KMP) was ₹726,024 for males and ₹626,706 for females. The Board of Directors (BoD) had a median remuneration of ₹5,339,684 for male members and ₹1,050,000 for female members, highlighting a significant pay gap. The lone male KMP had a median remuneration of ₹24,160,887, while no female KMPs were reported. Lastly, permanent workers had a median remuneration of ₹382,200, with no female representation in this category.

Shareholding pattern

Shareholder Category	No.of Holders	% To holders	No.of Shares	% to Equity
1-500	131947	98.5%	3687050	1.91
501-1000	942	0.7%	699420	0.36
2001-3000	282	0.2%	738212	0.38
4001-5000	109	0.1%	499918	0.26
5001-10000	261	0.2%	1852311	0.96
10001 & Above	431	0.3%	184437274	95.41
Total	133972	100%	191914185	100%

Key takeaway:

- BKT remains a institutional heavy and promoter controlled company. Majority of equity is held by 0.3% of shareholders. 98.5% of holders own 1.91% of equity.
- FIL's have reduced their stakes over the time periods from 18% in FY17 to 11% in end of 2024
- DII's have been a constant buyer by increasing their stake from ~11% to ~24% towards the end of 2024
- The public shares owned has dropped from 14% in FY2017 to 6.46%



Miscelleaneous details
Companies Relationship with financial Intermediaries : Banks 1) Standard Chartered Bank 2) Kotak MAhindra bank Limited 3) Citi Bank N.A. 4) The Hongkong and Shanghai Banking Corporation Limited 5) ICICI Bank Limited 6) SUMITOMO MITSUI Banking Corporation Investments : 1) ICICI Mutual Fund 2) Nippon India Mutual Fund 3) ICICI Prudential Gold ETF 4) Motilal Oswal Mutual Fund
Total outstanding due of Micro and Small Enterprise 20.93 crores in FY 2024
Number of dealers / distributors to whom sales are made 308 in FY 2024

